

12-13. 26CV00748 SANCHEZ, HUMBERTO ET AL V. VUE, A THIT

EVENTS: (1) Defendant A Thit Vue's Demurrer to Complaint

(2) Defendant A Thit Vue's Motion to Strike Portions of Plaintiffs' Complaint

Defendant A Thit Vue's Demurrer to Complaint

In order to prevail on a cause of action for breach of contract, the Plaintiffs must prove (1) the contract, (2) the plaintiff's performance of the contract or excuse for nonperformance, (3) the defendant's breach, and (4) the resulting damage to the plaintiff. *Richman v. Hartley* (2014) 224 Cal.App.4th 1182, 1186. To do so, Plaintiffs must either attach a copy of the written agreement to the complaint and incorporate it by reference, set out the terms of the contract verbatim within the body of the complaint, or plead the legal effect of the contract by satisfactorily alleging the existence of the contractual obligations that form the basis of the claim and the relevant terms. *Harris v. Rudin, Richman & Appel* (1999) 74 Cal.App.4th 299; *Construction Protective Services, Inc. v. TIG Specialty Ins. Co.* (2002) 29 Cal.4th 189. The Court finds that here, Plaintiffs have failed to prove the existence of a contract and the Demurrer is sustained as to the breach of contract cause of action.

It is "improper" to "recast" a breach of contract cause of action as a tort claim under the economic loss doctrine. *BFGC Architects Planners, Inc. v. Forum/Mackey Constr., Inc.*, (2004) 119 Cal.App.4th 848, 853. "That judicially created doctrine bars recovery in negligence for pure economic losses when such claims would disrupt the parties' private ordering, render contracts less reliable as a means of organizing commercial relationships, and stifle the development of contract law." *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 915 ("[T]he rule functions to bar claims in negligence for pure economic losses in deference to a contract between litigating parties."). The doctrine extends to all tort-based claims "when they arise from—or are not independent of—the parties' underlying contracts." *Id.* at 633; *Aas v. Superior Court* (2000) 4 Cal.4th 627, 643 ("[A] person may not ordinarily recover in tort for the breach of duties that merely restate contractual obligations"). Here, the Court finds that Plaintiffs have failed to plead breach of any duty independent or not arising from the alleged breach of contract and the Demurrer is sustained as to the intentional tort cause of action.

Finally, the elements of fraud are (1) a misrepresentation of a material fact (false representation, concealment, or nondisclosure); (2) knowledge of falsity; (3) intent to defraud; (4) justifiable reliance; and (5) resulting damage." *Collins v. eMachines* (2011) 202 Cal.App.4th 249, 259. "The facts constituting the fraud, including every element of the cause of action, must be alleged 'factually and specifically'" to survive demurrer. *Apollo Capital Fund, LLC v. Roth Capital Partners, LLC* (2007) 158 Cal.App.4th 226, 240 [citing *Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 216-17]. Here, the Court finds that Plaintiffs have failed to plead any of the elements of fraud; they have not stated what representation Defendant made that was false, that Defendant had knowledge of its falsity, that Defendant had intent to defraud, that Plaintiffs justifiably reliance upon the misrepresentation, and that there was damage

resulting from that justifiable reliance, and the Demurrer is sustained as to the fraud cause of action.

The Court grants leave to amend. Any amended complaint is to be filed and served within 20 days' notice of this order. Counsel for the Defendant shall prepare and submit a form of order within two weeks.

**Defendant A Thit Vue's Motion to Strike
Portions of Plaintiffs' Complaint**

In pleading punitive damages, a party must plead facts from which it can be reasonably inferred that the defendant acted with malice, fraud within the meaning of *Civil Code* §3294. "Not only must there be circumstances of oppression, fraud, or malice, but facts must be alleged in the pleading to support such a claim." *Grieves v. Superior Court* (1984) 157 Cal.App.3d 159, 166. When facts supporting oppression, fraud, or malice have not been properly alleged in the complaint, the trial court should grant the motion to strike. *Id.* at 168. Conclusory allegations and generalizations are insufficient. *Small v. Fritz Companies, Inc.* (2003) 30 Cal. 4th 167, 184. Here, because the Court has sustained the Demurrer as to the fraud claims, the Motion to Strike in this regard is likewise granted.

In regard to Defendant's arguments requesting the Court strike all allegations of fraud and intentional misconduct, that Court finds that such arguments are inappropriate in connection with this Motion to Strike and the Court has already considered and addressed these arguments in relation to the concurrently filed Demurrer. As such, the Motion to Strike is denied in this regard.

Finally, the Court finds that *Civil Code* §1950.5 provides the basis for the requested statutory relief, which is supported by the allegations of the Complaint and the Motion to Strike in this regard is denied.

The Court grants leave to amend. Any amended complaint is to be filed and served within 20 days' notice of this order. Counsel for the Defendant shall prepare and submit a form of order within two weeks.